

02 External environment

5 primary questions | Oldest to newest

2026 objectives: 2.2

8 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2013 Q1	6 marks
CA1-P1 September 2016 Q1	8 marks
CA1-P1 September 2017 Q1	7 marks
CA1-P1 September 2017 Q5	15 marks
CP1-P1 September 2023 Q6	16 marks

CA1-P1 | April 2013 | Q1

Current topic | 6 marks total | Original PDF p2

Related: Ch 7.

- 1** A general insurance company sells insurance covering several types of risks for restaurants and bars. A ban on smoking inside all public premises is about to be introduced by the government.

Discuss the implications for the insurance company of this ban. [6]

CA1-P1 | September 2016 | Q1

Current topic | 8 marks total | Original PDF p2

Related: Ch 23.

- 1** During a recent economic recession total premium income received under all motor insurance policies in a particular country fell.

At the same time, premium rates for most motor insurance policies rose.

Discuss the factors that could have caused these apparently contradictory outcomes.

[8]

CA1-P1 | September 2017 | Q1

Current topic | 7 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** An insurance company sells policies which aim to cover long-term care costs for people once they are unable to look after themselves in their own homes.

The insurance company operates in a developed economy which is experiencing reduced government spending following a recession. Demand for these long-term care policies has increased significantly in the years since the recession started.

Discuss which external environment factors may have contributed towards this increase in demand.

[7]

CA1-P1 | September 2017 | Q5

Current topic | 15 marks total | Original PDF p3

Related: Ch 23, Ch 3.

- 5** The climate of a country has been changing with flooding increasing in frequency and severity across many regions.

During the same period premiums for the average household insurance cover have risen considerably and the range of premiums by region and within regions has widened significantly.

- (i) Describe why the change in climate could have caused such a change to the distribution of market premiums. [4]

The government of the country is concerned that household insurance cover is now becoming unaffordable for many people especially in high risk areas.

- (ii) Explain the reasons why the government is concerned about the unaffordability of household insurance cover. [3]

The government is proposing two possible proposals to make household insurance cover more affordable:

- Provide direct government subsidies to certain households to be used towards the cost of household insurance cover.
- Introduce a cap on the premium insurance companies charge for household insurance cover.

- (iii) Discuss how effective the proposals could be in addressing the government's concerns. [4]

- (iv) Discuss other potentially significant consequences for the household insurance market. [4]

[Total 15]

CP1-P1 | September 2023 | Q6

Current topic | 16 marks total | Original PDF p3

Related: Ch 28, Ch 26.

- 6** An actuarial consultancy specialises in investigating the impact of climate-related risks on pension funds.
- (i) Discuss how climate-related risks can affect defined benefit pension funds. [7]
 - (ii) Explain how each of scenario analysis, stress testing and stochastic modelling could be used in any investigation into climate-related risks. [6]
 - (iii) Outline why care will be needed when communicating the results of the analysis to the funds. [3]
- [Total 16]